



April 16, 2025

Senator James Coleman
President of the Colorado Senate
200 E. Colfax, Rm. 346
Denver, CO 80203

Senator Robert Rodriguez
Majority Leader of the Colorado Senate
200 E. Colfax, Rm. 346
Denver, CO 80203

Senator Paul Lundeen
Minority Leader of the Colorado Senate
200 E. Colfax, Rm. 346
Denver, CO 80203

RE: Letter in Opposition to the Proposed Amendment to the Colorado Privacy Act in Colorado SB 25-276

Dear Senate President Coleman, Senate Majority Leader Rodriguez, and Senate Minority Leader Lundeen:

We oppose the proposed amendment to the Colorado Privacy Act in SB 25-276, and below we provide our non-exhaustive list of concerns about this legislation.¹ In particular, SB 25-276 would amend the Colorado Privacy Act's data minimization term to permit collection of personal data only if such collection is reasonable, necessary, and proportionate "to provide or maintain *a specific product or service requested by the consumer* to whom the data pertains."² If enacted, SB 25-276 would have detrimental impacts on Coloradans and the economy by prohibiting businesses from using personal data for beneficial and responsible purposes including:

- **Prohibiting businesses from using personal data to develop new or improve existing products and services for Colorado consumers.** For example, personal data from the provision of a product or service could not be used to create novel, unrelated products or services. In Littleton, a feminine-first outdoor apparel brand offering up-cycled clothing without a brick-and-mortar store may not be able to use personal data to collaborate with other small brands to grow its customer base, because such collaboration could be considered offering a product or service not specifically requested by a consumer.³
- **Prohibiting a business from cross-selling products and services to existing customers.** For example, an auto dealership could not contact a former customer about a car buyback program or

¹ Colorado SB 25-276 (2025 Session) at Sec. 20, located [here](#).

² *Id.* (emphasis added).

³ See Internet for Growth, *Moving into the digital age with the outfit to match*, located [here](#).

to offer other incentives to purchase a new or used car. In Tri-Lakes, a food truck owner could be prohibited from turning her patrons into readers of her blog.⁴

- **Prohibiting businesses from using personal data to find new customers.** For example, business would be prohibited from using personal data to advertise or find new customers that may be interested in a Colorado business's products or services. In Telluride, a group of realtors would be prohibited from using personal data to identify new potential customers.⁵
- **Reducing the availability of personal data that is vital to combatting retail and online fraud, making Colorado businesses and consumers subject to higher losses.** Third-party data sources are vital to fraud prevention. This amendment would restrict third-party fraud prevention services from collecting or making data available to Colorado businesses to prevent fraud and loss.

These common, responsible, and beneficial uses of personal data would be prohibited because none are strictly *necessary* to provide or maintain *a specific product or service requested by the consumer* to whom the data pertains. SB 25-276's proposed amendment to the Colorado Privacy Act would harm consumers and businesses by eliminating valued uses of data that lead to product discovery, competition, and lower prices. The Colorado Privacy Act currently permits businesses to process personal data if such processing is adequate, relevant, and limited to what is reasonably necessary in relation to the purposes for which the data is processed, as specified in a privacy notice.⁶ SB 25-276 would alter this reasonable data minimization provision, significantly diverging from the approach to data minimization in the vast majority of state privacy laws and subjecting Coloradans to fewer benefits of data processing than their counterparts in nearby states and other parts of the country.

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⁴ See Internet for Growth, *Hand-dipped leads: how the internet drove food truck success*, located [here](#).

⁵ See Internet for Growth, *Bringing home success stories with digital advertising*, located [here](#).

⁶ See Colo. Rev. Stat. §§ 6-1-1308(1)(a), (3).

We and our members strongly support meaningful privacy protections for consumers. We believe, however, that SB 25-276 will not further meaningful consumer protections in Colorado and instead will impede the provision of useful products and services to Colorado residents. We therefore respectfully ask the Senate to decline to advance SB 25-276, as currently drafted.

Thank you for your consideration of this letter.

Sincerely,

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